

NVIDIA Corporation

NASDAQ: NVDA | Information Technology — Semiconductors | 27 August 2026

REDUCE Fair value: \$200 | CMP: \$227.98 (close, 27-Aug-2026) | Downside: -12.1% (total return -11.6%)

Struck on the 27 August close, the session after the report, in which the shares rose 8.74%. Fair value has risen from \$190 to \$200 on the print; the share price rose more, so the gap has widened rather than closed.

Investment Summary

Nvidia's second quarter was extraordinary on every line that measures demand. Revenue of \$96.2 billion beat the company's own \$91.0 billion guide by 5.7% and grew 106% year on year. Data Center reached \$89.0 billion, up 117%. Third-quarter guidance is \$108.0 billion, another 12% sequentially and 89% above the prior year. Vera Rubin is in full production. Management returned \$26 billion to shareholders in the quarter. We are not disputing any of it.

We are also not the cheap-stock police. Nvidia trades on 28.8 times trailing earnings and 19.1 times forward. It earns a 92% return on invested capital and a 63.7% net margin, and holds \$23 billion of net treasury cash. Sixty-one analysts cover it and the consensus is Strong Buy. On any conventional screen this is not an expensive share.

Our rating rests on one forecast, and we would rather state it plainly than bury it. Consensus implies roughly \$974 billion of revenue in FY2029, and Nvidia itself has now guided FY2028 revenue growth to roughly 70% — the first year-ahead forecast the company has given. We forecast \$711 billion and +42%. Run management's own guided rate through our model, changing nothing else, and it returns \$251 a share and an ACCUMULATE — not a REDUCE. The disagreement is the pace of deceleration, and Q2 made the bull case stronger rather than weaker.

What the Print Actually Changed

Two things moved in opposite directions, and the second got far less attention than the first.

Revenue forced our forecast up. Q1 of \$81.6 billion actual, Q2 of \$96.2 billion actual and Q3 guided at \$108.0 billion, with our Q4 estimate of \$117.8 billion, take FY2027E to \$403.6 billion against the \$381.6 billion we carried into the print — a 5.8% upgrade.

Conversion forced it down. Gross margin is guided to 74.0% for Q3, from 75.0% delivered in Q2. That is the first guided step-down of this cycle and it came from the company, not from us. More striking, trailing free cash flow margin has fallen from 46.97% to 41.92% while trailing revenue grew 19.5%. Operating cash flow margin fell from 49.6% to 44.3%. Growing at this rate is consuming working capital, and the cash conversion that made the last two years so remarkable is quietly weakening.

The two revisions largely offset. Fair value moved from \$190 to \$200, about 5%, against a 5.7% revenue beat — while the share price rose 8.74% in a single session. The beat was on the top line, the deterioration was on what reaches cash, and the price moved further than the value did.

The Line That Is Still Backwards

For the second consecutive quarter, GAAP earnings per share (\$2.46) exceeded non-GAAP earnings per share (\$2.22). That ordering is unusual and it has the same cause as last quarter.

The bridge is worth stating precisely, because the gap is smaller than the gains and a loose version of this claim is easy to attack. GAAP net income of \$59.69 billion, less \$7.77 billion of net gains on equity securities, plus \$2.03 billion of stock-based compensation and small other items, gives the \$53.95 billion non-GAAP figure. The gains are the reason

the ordering inverts; stock-based compensation offsets roughly a third of them, leaving a net gap of \$5.73 billion, or \$0.24 a share. Across the first half, gains totalled \$23.71 billion.

The scale of the underlying activity is what has changed. Nvidia purchased \$15.82 billion of equity securities in the quarter and \$42.40 billion across the half. Its marketable equity book has gone from \$12.89 billion at the FY2026 year-end to \$42.78 billion — 3.3 times larger in six months. It also sold \$7.22 billion, so a portion of the gains are now realised rather than merely marked. Total debt rose from \$12.81 billion to \$38.35 billion over the same period, while cash rose to \$99.37 billion.

Across the trailing twelve months, pretax income of \$229.7 billion sat \$32.2 billion above operating income of \$197.6 billion. Strip the non-operating line and tax the remainder at the 16.05% effective rate, and core earnings per share are \$6.80 against the \$7.91 reported. At \$227.98 the stock is on 33.5 times operating earnings rather than the 28.8 times the headline shows — 16% dearer than the screen suggests. We value the operating business throughout and treat the investment book separately.

Q2 Fiscal 2027 Results Review

Metric	Q2 FY27	Q1 FY27	Q2 FY26	Y/Y
Revenue	\$96.2bn	\$81.6bn	\$46.7bn	+106%
Data Center	\$89.0bn	\$75.2bn	\$41.0bn	+117%
Edge Computing	\$7.2bn	\$6.4bn	\$5.7bn	+27%
GAAP gross margin	75.0%	74.9%	72.4%	+2.6 pts
GAAP operating income	\$63.7bn	\$53.5bn	\$28.4bn	+124%
Other income, net	\$7.8bn	\$16.4bn	\$2.8bn	—
GAAP diluted EPS	\$2.46	\$2.39	\$1.08	+128%
Non-GAAP diluted EPS	\$2.22	\$1.87	\$1.01	+120%

Segment reporting was restructured this quarter into Data Center and Edge Computing; the prior Gaming, Professional Visualisation and Automotive lines are no longer disclosed separately. Data Center is 92.5% of the company.

Q3 guidance is \$108.0 billion plus or minus 2%, gross margin 74.0% plus or minus 50 basis points, and operating expenses of approximately \$9.2 billion on a GAAP basis. As in Q2, the outlook assumes no Data Center compute revenue from China whatsoever. That exclusion is shared by the company, by consensus and by us, which makes China a genuine upside risk to every number in this note rather than a shared assumption that could disappoint.

One announcement deserves more scrutiny than it received. Nvidia disclosed strategic partnerships with Apollo, BlackRock, Blackstone, Brookfield, Goldman Sachs and KKR to establish independent compute financing platforms intended to mobilise over \$500 billion of third-party capital for AI infrastructure, subject to definitive agreements. This cuts both ways and we think honestly on balance it cuts slightly against the bears: it moves the funding of Nvidia's demand off Nvidia's own balance sheet, which is a direct answer to the reflexivity concern in the section above. But a buildout requiring half a trillion dollars of mobilised third-party capital, arranged by the vendor, is not one being funded comfortably out of customer cash flow.

Valuation

Three methods, weighted 40/35/25. The two relative methods are struck on FY2028E and discounted back two years at the cost of equity, so all three are expressed in today's money and are directly comparable.

- FCFF discounted cash flow — 40% weight, giving \$157. Five explicit years from FY2027E to FY2031E, revenue decelerating from 87% to 10%, gross margin fading from 74.3% to 72.0% in the direction the company has now guided, and free cash flow margin fading from 42% to 38% — anchored to the 41.92% actually delivered over the trailing twelve months, not the 47% we used before the print. An 11.4% cost of equity, 4.0% terminal growth, \$23bn of net cash added. Its weakness is stark: the terminal value is 75% of enterprise value.

- Forward P/E on FY2028E, discounted back — 35% weight, giving \$229. FY2028E core EPS of \$12.91 at 22x is \$284 in two years, discounted to \$229 today. By FY2030 this is a business growing 10–16% in the outer years with operating margins in the low sixties; Nvidia's own forward multiple today is 19.1x.
- EV/EBITDA on FY2028E, discounted back — 25% weight, giving \$230. FY2028E EBITDA of \$378bn at 18x, plus net cash, struck on the FY2028E share count and discounted on the same basis.

Blending 40/35/25 gives \$200. Adding the 0.44% dividend yield, total expected return is –11.6%. Our bands are anchored to the risk-free rate rather than a fixed percentage: BUY above the cost of equity of 11.4%, ACCUMULATE above the 4.66% Treasury plus two points, HOLD between zero and that hurdle, REDUCE below zero. The call is REDUCE.

On the discount rate, which is the input a sceptical reader should attack first: Nvidia's realised five-year beta is 2.21. Using it raw with a 4.5% equity risk premium gives a 14.6% cost of equity and a materially lower value. We use a forward beta of 1.50, because a 2.21 beta stacked on top of a below-consensus revenue forecast would be two bearish assumptions compounding into a conclusion we had assumed rather than derived. The rating survives the more generous input; it would survive the harsher one by more.

One correction found on audit is worth stating because it went against our own argument. We had been treating \$61 billion as net cash. That figure only reaches \$61 billion by counting \$42.8 billion of marketable equity securities — the very stakes this note argues are not diversification — as treasury liquidity. Treasury cash and marketable debt securities less all debt is \$23.2 billion. We have used the smaller figure. Carrying the equity book at full value while arguing it is correlated with the operating business would have been incoherent, and it was inflating our own fair value by about \$1.07 a share on the blend, and \$1.77 on the cash-flow leg itself. Data providers reporting roughly \$99 billion of Nvidia 'cash' are including those stakes.

A development after the print also deserves flagging rather than burying. On 27 August, Reuters and the Wall Street Journal reported that Nvidia has paused revenue-sharing arrangements with AI cloud companies, under two months after announcing the programme. We have not modelled it and the detail is thin, but it sits directly on the reflexivity question this note raises, and readers should weigh it.

What This Rating Is Not

A stress-test of our own output produced the most uncomfortable finding in this note, and it belongs in the body rather than a footnote.

At \$227.98 the shares trade on 17.7 times our FY2028E core earnings of \$12.91 and 14.3 times FY2029E. Our own fair value of \$200 is 15.5 times FY2028E. Run the arithmetic backwards on the price/earnings leg alone: at a 22x exit multiple, today's price is consistent with FY2028 revenue of \$571 billion and growth of 41.6% — which is, to within rounding, exactly the +42% we forecast. On that method the market is not asking for anything we do not already assume.

So this is not a valuation call in the ordinary sense. We are not arguing that Nvidia is expensive on near-term earnings, because on our own numbers it is not. The REDUCE comes from the discounted cash flow, which carries 40% of the weight and holds 75% of its value beyond the five-year forecast. The rating is therefore driven by FY2032 and beyond — by how long the growth lasts rather than how fast it is over the next two years.

That is a weaker foundation than a cheap-versus-dear argument and readers deserve to know it. It is also why the power-constraint evidence matters so much: without a mechanism that binds in the outer years, a duration call is just an opinion about the far future dressed up in a spreadsheet. Anyone who thinks the grid gets built faster than Gartner and the interconnection queues suggest should discount this note heavily.

What a REDUCE Does and Does Not Mean Here

Our base case is not bearish on the business. It has revenue rising from \$403.6 billion in FY2027E to \$906.8 billion in FY2031E — roughly 2.25 times in four years — and core earnings per share going from \$9.09 to \$20.19. We are forecasting that Nvidia roughly doubles. The REDUCE sits on top of that forecast rather than instead of it.

The rating is a statement about price, not about direction. At \$227.98 the market has already bought a specific path: run the price/earnings leg backwards and it embeds FY2028 growth of about 56%, and the cash-flow model implies roughly 6.7% growth in perpetuity. We forecast 42% and 4.0%. Both of our numbers are strongly positive; they are simply smaller than the ones already paid for. An investor is compensated for the difference between what happens and what was priced, not for what happens being good. A company whose revenue rises every year can still lose you money if you paid for it rising faster.

There is a horizon qualification we want to make explicit, because it cuts against the rating and a reader is entitled to it. Hold to FY2031E on our own forecast and the answer depends almost entirely on the exit multiple. At 14 times FY2031E earnings the shares return 5.0% a year; at 16 times, 8.2%; at 18 times, 11.2%; at 20 times, 13.9%; at 22 times, 16.4%. Only the 20 and 22 times columns clear our 11.4% cost of equity, and 18 times comes within a quarter of a point of it. A 20 times exit for a business still compounding at double digits is not a heroic assumption.

So the honest formulation is this. Our REDUCE is a twelve-month judgement that the price has moved ahead of the fundamentals, struck the day after an 8.7% move. It is not a claim that Nvidia is a poor thing to own for five years — on our own numbers it plausibly is not. Those are different statements and we would rather separate them than let the rating imply more than it can support.

What the Price Implies

At \$227.98, with our free cash flow path and an 11.4% cost of equity, the market is capitalising a terminal growth rate of about 6.7% in perpetuity. At a 10.5% cost of equity it is roughly 5.6%; at 12.5%, roughly 8.0%. Congressional Budget Office projections imply long-run United States nominal GDP growth of roughly 3.8–4.0%; we use 4.0% as our terminal rate, having cut it from 4.5%, which flattered the model.

So the price requires Nvidia to grow faster than the American economy for ever, on top of a five-year forecast in which revenue already more than doubles from FY2027's \$404 billion. That is not impossible. It is simply what is being bought, and it is worth saying out loud.

Scenarios — The Rating Rests on One Number

Scenario	FY2028 growth	FY2029E revenue	FY2028E core EPS	Blended FV	Total return	Rating
Bear — FY28 +25%, margins degraded	+25%	\$555bn	\$10.87	\$155	-31.5%	REDUCE
Base — deceleration to +10% by FY2031	+42%	\$711bn	\$12.91	\$200	-11.6%	REDUCE
Bull — company's own FY28 guidance	+70%	\$926bn	\$15.46	\$251	+10.8%	ACCUMULATE

The bull column is the honest disclosure. The discount rate, multiples and weights are held constant across all three columns; the bear column additionally degrades gross margin to 71.5% and operating expenses to 10.0% of revenue, so it is not a revenue-only sensitivity and we should not pretend otherwise. At the company's own guided rate the answer becomes \$251 and an ACCUMULATE — one band above our own call, not two. The break-even matters more than either extreme: fair value equals the market price at FY2028 growth of about 56%. Our REDUCE therefore survives our own +42% and the +44% the Street carried into the print. It does not survive the company's own ~70%.

Where the Deceleration Comes From

A forecast below consensus needs a mechanism, not just a lower number, and our pre-print draft did not have one. Two rounds of external checking supplied it — and the first round argued against us.

Customer budgets are going up, not down. Microsoft, Alphabet, Amazon and Meta are projected to spend roughly \$935 billion of capital expenditure in calendar 2027 against about \$725 billion in 2026, a 29% increase. JPMorgan and Goldman Sachs both now model \$1 trillion or more of AI capital expenditure in 2027. On the demand side there is no evidence for deceleration at all, and we should say so plainly before offering the other half.

The constraint is not money. It is electricity. Gartner projected in November 2024 that 40% of EXISTING AI data centres would be operationally constrained by power availability by 2027 — a forecast now nearly two years old, and one we are leaning on heavily. Roughly 2,060 gigawatts of generation and storage sat in United States interconnection queues at the end of 2025 — still more than the country's entire installed capacity, though down about 10% and falling for a second year, which cuts against us. Grid approval in major US and European markets runs 24 to 36 months, federal environmental review for the minority of lines requiring it has averaged 4.3 years, with a range of one to eleven, and interconnection waits exceed five years in many regions. The supply-demand imbalance is expected to persist through at least 2028 or 2029.

This matters because it decouples orders from deployments. A hyperscaler can commit a capital budget in a board meeting; it cannot energise a gigawatt. Nvidia's own quarter contains the tell: it secured land, power and shell capacity through a partnership with SB Energy in Ohio, and arranged a \$500 billion third-party financing platform with Apollo, BlackRock, Blackstone, Brookfield, Goldman Sachs and KKR. A company solving for capital and for megawatts simultaneously is telling you which one it expects to bind.

So we now hold FY2028 growth close to consensus at +42% — capital is committed, chips are allocated, power for that vintage is largely contracted — and place the deceleration in FY2029 to FY2031 at +24%, +16% and +10%, which is exactly the window in which the grid constraint is forecast to bite hardest. That is a testable claim rather than a vague expectation of mean reversion, and it is the paragraph on which the rating stands or falls.

What Changed After Stress-Testing

Our first post-print draft assumed FY2028 revenue growth of 35%. It did not survive its own arithmetic. Building the quarters explicitly from the \$117.7 billion Q4 estimate, sequential growth decaying from 8% to 4% gives +38% and decay from 10% to 6% gives +44%; 35% required roughly 4% sequential growth against the 18% delivered in Q2 and the 12% implied by Q3 guidance. We raised the figure to +42%, which lifted fair value; a separate correction to net cash and terminal growth then took it back down to \$200.

The rating did not move, and that is the useful result. Fair value equals the market price at FY2028 growth of about 56%. Our REDUCE holds on our own +42% and on the +44% the Street carried into the print. It does not hold on the company's own ~70%, where our model returns \$251 and an ACCUMULATE. A reader who believes management's guidance should own the stock.

Cross-Check Against Third-Party Views

Sixty-one analysts cover Nvidia. The consensus rating is Strong Buy and the average target is \$320.77, 41% above the close. Our \$200 sits far below the range. We are not near the bears; we are past them.

That should give a reader pause, and it gives us pause. When one analyst lands outside a 61-strong distribution, the base rate says the analyst is wrong. We publish anyway because the arithmetic is transparent and the disagreement is isolated to one identifiable input — but the conclusion should be weighted by that base rate rather than by the confidence of the prose.

Part of the gap is convention rather than disagreement. We strike our relative multiples on FY2028E and discount them back two years, while sell-side targets are typically quoted as forward prices. Consensus now carries a 55.4%

three-year revenue CAGR against our path; on the Street's own growth our machinery lands close to their target, so the distance between us is the forecast rather than the method. On the Street's own assumptions, our machinery and theirs agree almost exactly. The entire distance between us is the revenue forecast.

The Strongest Argument Against This Rating

The peer comparison, stated at full strength.

Nvidia at 28.8 times trailing earnings is among the cheapest AI-exposed names in its group. Broadcom is at 59.2x, Marvell at 81.1x, AMD at 122.8x; only TSMC, the foundry that manufactures for Nvidia, is comparable at 28.3x. The average of the four excluding Nvidia and loss-making Intel is 72.8x, so Nvidia trades at a 60% discount to its own peer group while growing faster, earning higher margins and generating more cash than any of them. Forward P/E is 19.1x. If the AI build-out continues at anything close to the current pace, this note will look foolish and the 61 analysts will look right.

Our answer, in two parts:

- A price/earnings ratio is a fraction, and Nvidia's denominator is now \$193 billion of annual profit. AMD at 122.8x is expensive on \$41bn of revenue and a far smaller earnings base; that multiple carries almost no information about whether Nvidia's \$193 billion can compound from here. Comparing multiples across companies whose earnings differ by two orders of magnitude flatters the largest earner mechanically.
- These are not independent observations. Broadcom, AMD, Marvell and TSMC are priced off the same AI capital-expenditure cycle as Nvidia. Benchmarking Nvidia against them asks whether it is cheap relative to other bets on an identical outcome, which is not the question worth answering. Nvidia is cheap if AI capex compounds and expensive if it does not — and so is every name on that list. The peer group is one trade, not five.

Key Risks

Risks to our REDUCE — the ways we could be wrong:

- Revenue does not decelerate on our schedule. This is the whole call, and Q2 was evidence against us: a 5.7% beat, Q3 guided up 89% year on year, and — most damaging to us — Nvidia's own first-ever year-ahead forecast, given by CFO Colette Kress on the 26 August call, of roughly 70% FY2028 revenue growth against the roughly 44% analysts expected beforehand. At the company's own ~70% our model says \$251 and an ACCUMULATE; break-even is about 56%.
- China. Company guidance, consensus and our forecast all assume zero Data Center compute revenue from China. Any relaxation is upside nobody has modelled.
- The \$500 billion financing platform. If those definitive agreements are signed, demand gets funded by the world's largest asset managers rather than by Nvidia's balance sheet, and the reflexivity objection in this note weakens considerably. Hyperscaler capital budgets point the same way: the big four have guided to roughly \$725 billion of capital expenditure in calendar 2026, and sell-side consensus carries about \$935 billion for 2027 — the 2027 figure is an analyst projection, not company guidance, and both JPMorgan and Goldman Sachs now model \$1 trillion or more of AI capital expenditure in 2027.
- Vera Rubin. Now in full production across CoreWeave, Google Cloud, Azure, Oracle and Nebius, into a market with no credible frontier alternative.

Risks to the business:

- Cash conversion. Free cash flow margin has fallen five points in a quarter, from 46.97% to 41.92%, while trailing revenue grew 19.5%. The dollar figure rose, from \$119.1bn to \$127.0bn; it is conversion that weakened. If working capital keeps absorbing growth, reported earnings and distributable cash keep diverging.
- The guided margin step-down. 74.0% for Q3 against 75.0% delivered. One quarter is not a trend, but it is the first time this cycle the company has guided the number down, and our forecast now extends that direction.

- The investment book. \$42.78 billion of marketable equity securities marked through the income statement, up 3.3x in six months, while \$24.9 billion of debt was issued in the quarter. In H1 it added \$23.71 billion of gains; the mechanism runs both ways, and it is correlated with the operating business rather than diversifying it.
- Custom silicon. Trainium, TPU and MTIA target the highest-volume inference workloads, where volume rather than frontier performance decides.

Company Overview

Nvidia designs graphics and accelerated-computing processors and the software stack around them. From Q2 fiscal 2027 the company reports two segments: Data Center — GPUs, networking and the CUDA ecosystem — at 92.5% of revenue, and Edge Computing at 7.5%. Manufacturing is outsourced, principally to TSMC. The fiscal year ends in late January. Vera Rubin, the current platform, entered full production during the quarter.

Disclaimer

Prepared for personal analytical and educational purposes. Not investment advice, nor an offer or solicitation; the author is not a SEBI-registered adviser and does not hold a position in Nvidia. Figures are taken from Nvidia's own results release for the second quarter of fiscal 2027 (26 August 2026) and the guidance issued with it, together with market data from StockAnalysis / S&P Global Market Intelligence. Nvidia's price is the close of 27 August 2026. Peer multiples are at the same close; Marvell reported after it and its multiple here is already stale. Forward estimates are the author's own. The fair value is an illustrative output of the accompanying model and depends entirely on its assumptions, particularly the revenue path. Consult a licensed adviser before acting.

NVIDIA Corporation (NASDAQ: NVDA) — Financial Model & Valuation

Built on Q2 FY2027 actuals (reported 26-Aug-2026) and company guidance for Q3 and FY2028. Data Center was 92.5% of Q2 revenue. Note on presentation: Data Center and Edge Computing are market-platform revenue disclosures introduced with Q1 FY2027, not GAAP reportable segments — those remain Compute & Networking and Graphics.

SNAPSHOT — all price-derived figures computed, not pasted

Live price (\$, close 27-Aug-2026)	227.98 +8.74% on the print; verified two sources
Shares outstanding (m)	24,150.00 per data provider post-buyback
Market capitalisation (\$bn)	5,505.72
Diluted shares, Q2 FY2027 actual (m)	24,285.00 H1 weighted average 24,338
TTM revenue (\$bn)	302.97 ties to Q3FY26+Q4FY26+Q1FY27+Q2FY27
TTM operating income (\$bn)	197.58
TTM pretax income (\$bn)	229.74 \$32.2bn sits BELOW the operating line
TTM net income (\$bn)	192.88 reported, includes investment gains
TTM reported EPS (\$)	7.91
TTM core EPS (\$, operating only, taxed 16.05%)	6.83
Trailing P/E on reported EPS (x)	28.82
Trailing P/E on core EPS (x)	33.38
Book value per share (\$)	9.50
Price / book (x)	24.00
TTM free cash flow (\$bn)	127.01 ROSE from \$119.08bn; the MARGIN fell 46.97% -> 41.92%
Return on invested capital (%)	92.03
Beta, 5-year (%)	2.21 model uses a forward beta of 1.50 — see DCF sheet
Dividend per share (\$/yr)	1.00
Dividend yield (%)	0.44
US 10-yr Treasury (%; 26-Aug-2026)	4.66 Fed H.15; rating hurdle anchor

NET CASH — treasury liquidity only

Cash and cash equivalents (\$m)	22,443
Marketable debt securities (\$m)	34,143
Less: short-term debt (\$m)	-1,000
Less: long-term debt (\$m)	-32,366
NET CASH (\$m)	23,220

Marketable EQUITY securities of \$42.783m are deliberately EXCLUDED. They are stakes in AI counterparties, several of which Nvidia is helping to finance; they are marked through the income statement and are correlated with the operating business rather than diversifying it. Counting them as treasury cash while arguing elsewhere that they are not diversification would be incoherent, and would add \$1.77 a share to fair value. Data providers that report roughly \$99bn of 'cash' are including them.

Q2 FISCAL 2027 RESULTS (quarter ended 26-Jul-2026, reported 26-Aug-2026)

Metric	Q2 FY27	Q1 FY27	Q2 FY26	Y/Y
Revenue (\$m)	96,221	81,615	46,743	+106%
Data Center (\$m)	89,000	75,200	41,000	+117%
Edge Computing (\$m)	7,200	6,400	5,700	+26%
GAAP gross margin (%)	75.00	74.90	72.40	+2.6 pts
GAAP operating expenses (\$m)	8,408	7,621	5,413	+55%
GAAP operating income (\$m)	63,734	53,536	28,440	+124%
Other income, net (\$m)	7,773	16,367	2,766	
of which equity-securities gains (\$m)	7,771	15,936	2,247	non-operating
Stock-based compensation (\$m)	2,027	1,927	1,624	
GAAP net income (\$m)	59,688	58,321	26,422	+126%
GAAP diluted EPS (\$)	2.46	2.39	1.08	+128%
Non-GAAP diluted EPS (\$)	2.22	1.87	1.01	+120%
Free cash flow, quarter (\$m)	21,300			vs \$59,688m GAAP net incor

GAAP EPS (\$2.46) again exceeded non-GAAP (\$2.22). The bridge: GAAP net income \$59,688m LESS \$7,771m of equity-securities gains PLUS \$2,027m of stock-based compensation and small other items gives the \$53,954m non-GAAP figure. The gains are why the ordering inverts; SBC offsets about a third, leaving a \$5,734m net gap. Note also that Q2 free cash flow was \$21.3bn against \$59.7bn of GAAP net income — receivables rose \$22.3bn to \$63.1bn and inventories \$5.8bn to \$31.6bn. Growth is consuming cash faster than the income statement shows.

Q3 FISCAL 2027 GUIDANCE (company, 26-Aug-2026)

Revenue (\$bn)	108.0 ± 2% (+12.2% sequential, +89% YoY)
GAAP / non-GAAP gross margin (%)	74.0 / 74.0, ± 50bp — first guided step-down
GAAP / non-GAAP operating expenses (\$bn)	9.2 / 9.0
China Data Center compute in guidance	None assumed
FY2028 revenue growth — company guidance	~70% (first year-ahead forecast Nvidia has given; CFO Colette Kress, 26-Aug call)
Capital returned in Q2 (\$bn)	26.0 (buyback 19.7 + dividend 6.0); \$99.0bn authorisation remaining

NVIDIA — Income Statement & Forecast (\$ millions, fiscal years ending late January)

FY2022–FY2026 reported. FY2027E = Q1 actual + Q2 actual + Q3 company guidance + our Q4 estimate. FY2028E–FY2031E are our forecasts.

(\$m)	FY2022A	FY2023A	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue	26914	26974	60922	130497	215900	403600	573112	710659	824364	906801
growth (%)		0.2%	125.9%	114.2%	65.4%	86.9%	42.0%	24.0%	16.0%	10.0%
Gross margin (%)	64.8%	56.9%	72.7%	75.0%	74.8%	74.3%	73.5%	73.0%	72.5%	72.0%
Gross profit	17,448	15,356	44,302	97,873	161,493	299,754	421,237	518,781	597,664	652,897
opex as % of revenue	27.6%	41.3%	18.6%	12.5%	10.3%	8.7%	9.2%	9.8%	10.4%	11.0%
Operating expenses	7,436	11,132	11,350	16,312	22,216	35,113	52,726	69,645	85,734	99,748
Operating income	10,012	4,224	32,953	81,561	139,277	264,641	368,511	449,136	511,930	553,149
operating margin (%)	37.2%	15.7%	54.1%	62.5%	64.5%	65.6%	64.3%	63.2%	62.1%	61.0%
Net income (core, ex investment gains)	8,405	3,546	27,664	68,470	116,923	222,166	309,365	377,050	429,765	464,368
tax rate (%)	16.1%	16.1%	16.1%	16.1%	16.1%	16.1%	16.1%	16.1%	16.1%	16.1%
Diluted shares (m)	25,350	24,940	24,690	24,800	24,500	24,338	23,957	23,634	23,315	23,000
Core EPS (\$)	0.33	0.14	1.12	2.76	4.77	9.13	12.91	15.95	18.43	20.19

Core EPS strips non-operating investment gains and taxes operating income at 16.05%, the TTM effective rate and inside company FY2027 guidance of 16–18%. Reported EPS is higher: TTM reported EPS was \$7.91 against core EPS of \$6.80, because \$32.2bn of TTM pretax income sat below the operating line. We value the operating business and treat the investment book separately.

CHECK — reported operating income (\$m)	10,041	4,224	32,972	81,453	139,300
modelled less reported	-29	0	-19	108	-23

WHAT Q2 CHANGED, AND WHY THE FORECAST STILL DECELERATES

Q2 forced two revisions in opposite directions. Revenue: the \$96.2bn print beat the \$91.0bn guide by 5.7% and Q3 is guided to \$108.0bn, so FY2027E rises to \$403.6bn, +87%. Margin and cash conversion: gross margin is guided DOWN to 74.0% in Q3 from 75.0% delivered — the first guided step-down of this cycle — and TTM free cash flow margin has fallen from 46.97% to 41.92% while revenue grew 19.5%. Growth is consuming working capital.

On FY2028 we revised UP and want to be explicit about why. Our pre-print forecast of +35% did not survive its own arithmetic: it required roughly 4% sequential quarterly growth against the 18% delivered in Q2 and the 12% implied by Q3 guidance. Building the quarters explicitly, sequential decay from 8% to 4% gives +38% and decay from 10% to 6% gives +44%; we use +42%, just below the roughly 44% analysts carried into the print. Nvidia itself then guided FY2028 revenue growth to about 70% on the 26 August call — its first year-ahead forecast — and we are well below that. At 70% our own model returns \$251 and an ACCUMULATE.

The deceleration we forecast sits in FY2029-FY2031 (+24%, +16%, +10%) and has a physical mechanism rather than an assertion. Gartner projected in November 2024 that 40% of EXISTING AI data centres would be power-constrained by 2027 — a forecast now nearly two years old. Roughly 2,060 GW of generation and storage sat in US interconnection queues at end-2025, down about 10% and falling for a second year, which cuts against us; federal environmental review for the minority of transmission lines requiring it has averaged 4.3 years. Capital is not the binding constraint — Nvidia itself secured land, power and shell capacity from SB Energy in Ohio and arranged a \$500bn third-party financing platform. Electricity is. Our FY2029E of \$711bn sits 27% below what consensus implies.

Share counts to FY2026 are reported. FY2027E uses the actual H1 weighted-average diluted count of 24,338m; FY2028E onward assume a 1.44% annual reduction, the pace implied by \$19.7bn of quarterly buyback at the current price against \$99.0bn remaining on the authorisation.

NVIDIA — Free Cash Flow to the Firm (\$ millions)

DISCOUNT RATE	
Risk-free rate — US 10-yr Treasury, 24-Aug-2026	4.66% <i>Fed H.15, 26-Aug-2026 (was using a stale 24-Aug 4.72%)</i>
Beta used	1.50 <i>5-year realised beta is 2.21; see note</i>
Equity risk premium	4.50% <i>Damodaran-range mature-market ERP</i>
Cost of equity	11.41% <i>risk-free + beta x equity risk premium</i>
Debt weight	0.00% <i>net cash is treasury only — see Overview</i>
WACC used	11.41% <i>equals cost of equity (no debt weight)</i>
Terminal growth	4.00% <i>4.0%; CBO-implied long-run US nominal GDP is ~3.8-4.0%. 4.5% would flatter this DCF.</i>

Beta note: Nvidia's realised 5-year beta is 2.21, inflated by the AI re-rating itself. Using it raw would give a 14.67% cost of equity and a much lower value. We use 1.50 — a forward-looking semiconductor beta — because a 2.21 beta plus a below-consensus revenue forecast would stack two bearish assumptions on top of each other. The sensitivity grid shows what the raw beta does.

FREE CASH FLOW BUILD						
	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Revenue	403,600	573,112	710,659	824,364	906,801	
FCF margin (%)	42.0%	41.0%	40.0%	39.0%	38.0%	
Free cash flow	169,512	234,976	284,264	321,502	344,584	
Discount factor	0.898	0.806	0.723	0.649	0.583	
PV of FCF	152,152	189,311	205,565	208,683	200,759	
Sum of PV, explicit period	956,469					
Terminal value (Gordon on FY2031E FCF)	4,836,272					
PV of terminal value	2,817,668					
terminal share of enterprise value	75%					
Enterprise value	3,774,137					
Add: net cash	23,220					
Equity value	3,797,357					
Shares outstanding (m)	24,150					
DCF VALUE PER SHARE (\$)	157.24					

FCF margins are anchored to the 41.92% actually delivered over the trailing twelve months. Note the trailing FCF dollar figure ROSE, from \$119.08bn to \$127.01bn; it is the margin that fell, because revenue grew faster. Terminal value is roughly three quarters of enterprise value, which is why this method carries 40% weight rather than the majority — and why the rating is a duration call rather than a multiple call.

NVIDIA — Multi-Method Valuation

Three methods, weighted 40/35/25, on Q3 FY2027 actuals and Q3 guidance. The relative methods are struck on FY2028E and discounted back two years at the cost of equity, so all three are stated in today's money and are directly comparable.

KEY INPUTS		
Live price (\$, close 27-Aug-2026, post-print)	227.98	
Shares outstanding (m)	24,150.00	
Diluted shares (m)	24,338.00	
Net cash (\$m)	23,220.00	
Risk-free rate (US 10-yr, 24-Aug-2026)	4.66%	
Cost of equity	11.41%	
Terminal growth	4.00%	
Dividend yield	0.44%	

METHOD 1 — FCFF DISCOUNTED CASH FLOW (40% weight)		
Five-year explicit forecast, Gordon terminal, treasury-only net cash of \$23.2bn added. Full build on the DCF sheet.		
DCF value per share (\$)	157.24	

METHOD 2 — FORWARD P/E ON FY2028E, DISCOUNTED BACK (35% weight)		
FY2028E core EPS (\$)	12.91	
Target multiple (x)	22.0 22x for a business growing 10-16% in the outer years with operating margins in the low sixties. Nvidia trades on 19.1x.	
Implied FY2028 price (\$)	284.09	
Discounted two years to today (\$)	228.88	

METHOD 3 — EV/EBITDA ON FY2028E, DISCOUNTED BACK (25% weight)		
FY2028E revenue (\$m)	573,112	
EBITDA margin (%)	66.0%	
FY2028E EBITDA (\$m)	378,254	
Target EV/EBITDA (x)	18.0	
Implied FY2028 equity value (\$m)	6,831,791	
Implied FY2028 price (\$)	285.17 uses the FY2028E share count, consistent with the EPS in Method 2	
Discounted two years to today (\$)	229.75	

BLENDED VALUATION @ RATING				
Method	Value/share (\$)	vs price	Weight	
FCFF DCF	157.24	-31.0%	40%	
Forward P/E on FY2028E	228.88	0.4%	35%	
EV/EBITDA on FY2028E	229.75	0.8%	25%	
Blended fair value (\$)	200.44			
Upside / (downside)	-12.1%			
Add: dividend yield	0.44%			
Total expected return	-11.6%			
Cost of equity (BUY hurdle)	11.4%			
ACCUMULATE hurdle (RF + 2pp)	6.7%			
RATING	REDUCE			

Rating bands are anchored to the US 10-year Treasury at 4.66% (26-Aug-2026, Fed H.15): BUY above the cost of equity, ACCUMULATE above risk-free plus two points, HOLD between zero and that hurdle, REDUCE below zero. Struck on the 27-Aug close of \$227.98, up 8.74% on the print.

SENSITIVITY — blended fair value (\$) vs DCF value and the FY2028E multiple					
Fwd P/E (x) \ DCF value/share	\$127.24	\$142.24	\$157.24	\$172.24	\$187.24
18x	173.88	179.88	185.88	191.88	197.88
20x	181.16	187.16	193.16	199.16	205.16
22x	188.44	194.44	200.44	206.44	212.44
24x	195.73	201.73	207.73	213.73	219.73
26x	203.01	209.01	215.01	221.01	227.01

The centre cell is built from the same inputs as the blend above, so it agrees by construction — it is a wiring check, not a validation of the inputs themselves. The bear and bull rows below are independent recomputations and are the ones worth interrogating.

CHECK: centre cell less blended fair value 0.00

SCENARIOS — the rating rests on the revenue path, not the discount rate						
Scenario	FY2029E revenue (\$bn)	FY2028E core EPS (\$)	DCF (\$)	Blended FV (\$)	Total return	Rating
Bear — FY28 +25%, power-capped thereafter (margins de	555	10.87	98.84	155.28	-31.5%	REDUCE
Base — FY28 +42%, fading to +10% by FY2031	711	12.91	157.24	200.44	-11.6%	REDUCE
Bull — FY28 +70% per company guidance, sustained	926	15.46	217.15	251.49	10.8%	ACCUMULATE

CHECK: Base scenario blend less headline blended fair val 0.00

Nvidia guided FY2028 revenue growth to roughly 70% on the 26 August call — the first year ahead forecast the company has given. But that through our own machinery and it returns \$251 and an ACCUMULATE. The break-even is what matters: fair value equals the market price at FY2028 growth of about 56%. Our REDUCE survives our own +42% and the +44% the Street carried into the print; it does not survive the company's own 70%. Note the bear column degrades gross margin to 71.5% and opex to 10.0% of revenue — it is NOT a revenue-only sensitivity, and we should not claim otherwise.

What changed on audit. Net cash was restated from \$61.0bn to \$23.2bn: the larger figure counted \$42.8bn of marketable EQUITY securities as treasury liquidity, which contradicts this note's own argument that the equity book is not diversification. Terminal growth was cut from 4.5% to 4.0%, since CBO-implied long-run US nominal GDP is roughly 3.8-4.0%. The risk-free rate was refreshed from a stale 24-Aug 4.72% to the 26-Aug 4.66% H.15 print. Method 3 was struck on the FY2028E share count for consistency with Method 2. Together these took fair value from \$203 to \$200.

HOLDING-PERIOD TEST — return to FY2031E on OUR OWN forecast, by exit multiple				
Exit multiple on FY2031E core EPS	Implied price (\$)	Total return	Annualised (4vs 11.41% cost of equity)	
14x	282.66	24.0%	5.0% below	
16x	323.04	41.7%	8.2% below	
18x	363.42	59.4%	11.2% below	
20x	403.80	77.1%	13.9% clears	
22x	444.18	94.8%	16.4% clears	

Our REDUCE is a twelve-month judgement about price, not a claim that the business is a poor long-term holding. On our own forecast a 20x exit in FY2031 returns more than the cost of equity. We separate the two statements rather than letting the rating imply more than it can support.

NVIDIA — Peer Comparison and Street View

All rows at the 27-Aug-2026 close, the session after Nvidia's Q2 FY2027 report. The whole complex rallied on the print. Source: StockAnalysis / S&P Global Market Intelligence.

Company	Ticker	Market cap (\$bn)	Price (\$)	Trailing P/E (x)	TTM revenue (\$bn)	Comment
NVIDIA	NVDA	5,506	227.98	28.83	302.97	subject; +8.74% on the print; forward P/E 19.1x
Broadcom	AVGO	1,770	371.54	59.18	75.47	+4.49%; custom accelerators, the closest structural thr
Taiwan Semiconductor	TSM	1,970	427.30	28.31	139.57	+2.30%; manufactures for Nvidia; the only comparably
Advanced Micro Devices	AMD	778	476.67	122.75	41.31	-0.89%; earnings still small relative to the multiple
Marvell	MRVL	212	241.45	81.12	9.45	-1.49%; custom silicon for hyperscalers
Intel	INTC	484	92.09	n/m	57.03	+4.36%; loss-making; not meaningful
Peer average trailing P/E, excluding Nvidia and Intel		72.84				
Nvidia premium / (discount) to that average		-60.4%				

THE STRONGEST ARGUMENT AGAINST OUR RATING

Nvidia at 28.8 times trailing earnings remains among the cheapest AI-exposed names in this table. Broadcom is at 59.2x, Marvell at 81.1x, AMD at 122.8x; only TSMC, the foundry that manufactures for Nvidia, is comparable at 28.3x. The average of the four excluding Nvidia and loss-making Intel is 72.8x, so Nvidia trades at a 60% discount to its own peer group while growing faster and earning higher margins than any of them. Forward P/E is 19.1x, ROIC 92%, net margin 63.7%, with \$23bn of net treasury cash. Sixty-one analysts cover it, the consensus is Strong Buy and the average target sits well above the market. On every conventional screen this is a cheap stock and our REDUCE is the outlier.

OUR ANSWER

Two responses. First, a price/earnings ratio is a fraction and Nvidia's denominator is now \$193bn of annual profit. AMD at 122.8x is expensive on \$41bn of revenue and a far smaller earnings base; that multiple says almost nothing about whether Nvidia's \$193bn can compound. Second, these are not independent observations — Broadcom, AMD, Marvell and TSMC are priced off the same AI capital-expenditure cycle. Benchmarking Nvidia against them asks whether it is cheap relative to other bets on an identical outcome. Nvidia is cheap if AI capex compounds and expensive if it does not, and so is every name on that list. The peer group is one trade, not five.

STREET DISPERSION

Analysts covering	61
Consensus rating	Strong Buy
Average target (\$)	320.77
Implied upside from the \$227.98 close	40.7%
Consensus 3-yr revenue CAGR (%)	55.40
Consensus 3-yr EPS CAGR (%)	58.73
Our blended fair value (\$)	200.44

Our implied FY2029E revenue (\$bn) 711

We sit far below the Street. Our FY2029E of \$711bn against a consensus 3-year revenue CAGR of 55.4%, and against the company's own ~70% FY2028 guidance. Peer prices are the 27-Aug-2026 close; Marvell reported after that close and fell in after-hours, so its multiple here is already stale.